

TOTAL KENYA LIMITED

UNAUDITED HALF YEAR RESULTS FOR THE PERIOD ENDED 30 JUNE 2011

STATEMENT OF FINANCIAL POSITION

AS AT,	30 June 2011 KSh'000	31 Dec 2010 KSh'000
ASSETS		
Non current assets		
Property plant and equipment	9,328,509	9,642,005
Deferred taxation	135,009	131,999
Other assets	38,524	70,417
Goodwill	416,679	416,679
Total non-current assets	9,918,721	10,261,100
Current assets		
Inventories	13,661,278	9,516,941
Accounts receivable and other assets	12,038,791	9,580,650
Assets classified as held for sale	54,702	142,313
Cash and bank balances	86,790	874,673
Total current assets	25,841,561	20,114,577
TOTAL ASSETS	35,760,282	30,375,677
EQUITY AND LIABILITIES		
Capital and Reserves		
Share capital	4,774,771	4,774,771
Share premium	1,967,520	1,967,520
Revenue reserve	2,603,802	2,837,562
Shareholders' equity	9,346,093	9,579,853
Non Current Liabilities		
Medium Term Loan	2,925,000	3,276,000
Long term deposits	328,627	320,020
Total Non Current Liabilities	3,253,627	3,596,020
Current liabilities		
Medium Term Loan	702,000	702,000
Trade and other payables	8,262,263	10,600,429
Short term borrowings	14,196,299	5,897,375
Total current liabilities	23,160,562	17,199,804
TOTAL EQUITY AND LIABILITIES	35,760,282	30,375,677

STATEMENT OF COMPREHENSIVE INCOME

FOR THE PERIOD ENDED	30 June 2011 KSh'000	30 June 2010 KSh'000
Turnover	44,718,976	38,994,026
Indirect taxes	(6,358,110)	(7,714,072)
Net turnover	38,360,866	31,279,954
Cost of sales	(36,331,406)	(28,645,636)
Gross profit	2,029,460	2,634,318
Other income	360,367	40,466
Depreciation and amortisation	(530,155)	(444,686)
Operating expenses	(1,344,157)	(1,205,876)
Operating profit	515,515	1,024,222
Finance costs - net	(395,945)	(543,350)
Foreign currency exchange differences	25,820	172
Profit before taxation	145,390	481,044
Taxation	(65,680)	(178,760)
Net Profit	79,710	302,284

COMMENTS FROM MANAGEMENT

The Company's performance for the first half of 2011 reflects a significant drop compared to same period in 2010 and is below management expectations. This reduced performance is attributable to various challenges facing the oil industry in Kenya, key among them being the impact of price controls that were introduced in December 2010, inefficiencies in the fuel supply chain that were especially severe in the second quarter (like delays in OTS ships, change of pricing reference, clogging of the KPC pipeline preventing smooth supply to our customers and deficit in ullage allocation) and erratic international oil prices.

Sales volumes decreased by 13.7% from 493 KMT in 2010 to 425 KMT in 2011 mainly due to reduced consumption of diesel for emergency power production. Consequently, the company's market share dropped from 27.6% in June 2010 to 22.6% in June 2011. However, it is worth to note that on the back of a growing Kenyan economy and thanks to Total Kenya unique and recognized customer service, sales grew in other channels like retail network, aviation, lubricants and bitumen.

Turnover went up by 23% despite the reduction in sales volume due to increase in product cost occasioned by the high international oil prices. However, cost of sales went up by 27 % (higher than the increase in turnover) due to the impact of additional costs within the supply chain that were not passed to the final consumer because of the price regulation mechanism. As a result, gross profit

STATEMENT OF CASH FLOWS

AS AT,	30 June 2011 KSh'000	30 June 2010 KSh'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from (used in) operations	(7,606,960)	(55,526)
Taxation paid	(464,100)	(219,768)
Net cash from operating activities	(8,071,060)	(275,294)
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(242,298)	(281,021)
Purchase of Intangible assets	-	(48,000)
Proceeds on disposal of property, plant and equipment	286,965	10,743
Net cash used in investing activities	44,667	(318,278)
CASH FLOW FROM FINANCING ACTIVITIES		
Interest paid	(395,945)	(543,350)
Dividend paid	(313,470)	(298,543)
Medium Term Loan repaid	(351,000)	(351,000)
Net cash used in financing activities	(1,060,415)	(1,192,893)
Net decrease in cash and cash equivalents	(9,086,808)	(1,786,465)
CASH AND CASH EQUIVALENTS		
At 1 January	(5,022,702)	(8,672,941)
As at 30 June	(14,109,510)	(10,459,406)

STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED	Share Capital KSh'000	Share Premium KSh'000	Revenue Reserve KSh'000	Total Equity KSh'000
30 June 2011				
As of 1 January 2010	4,774,771	1,967,520	2,219,900	8,962,191
Dividends declared			(298,543)	(298,543)
Profit for the year			302,284	302,284
As of 30 JUNE 2010	4,774,771	1,967,520	2,223,641	8,965,932
As of 1 January 2011	4,774,771	1,967,520	2,837,562	9,579,853
Dividends declared			(313,470)	(313,470)
Profit for the year			79,710	79,710
As of 30 JUNE 2011	4,774,771	1,967,520	2,603,802	9,346,093

dropped by 23% compared to same period in 2010.

In line with the conditions set by the government before the acquisition of Chevron business, Total Kenya disposed of several company assets, generating a gain of Kes 200 million recognized in other income.

Operating expenses on the other hand increased by 11 % due to impact of inflation and the devaluation of the Kenyan shilling against major world currencies with the resultant effect on expenses denominated in foreign currency.

Finance costs decreased by Kes 147 million due to lower average interest rates as compared to same period in 2010 coupled with optimization of working capital elements.

Due to the reduction in gross margins, profit before tax decreased by 70 % to Kes 145 million (2010; Kes 481 million). As a result of the combination of these adverse conditions, the company reported a loss of Kes.127 million in the second quarter; hence the net profit for the first half of 2011 reached Kes 80 million compared to Kes 302 million recorded in 2010.

On the balance sheet, the company's asset base has remained strong while short-term borrowings increased to finance higher Working Capital Requirements resulting from the rise in international oil prices.

FUTURE OUTLOOK

The implementation of the price regulation mechanism has led to a squeeze on margins due to omission and underestimation of costs in determination of the maximum retail prices by ERC and the lag effect between the rising international prices and the period when they are recognized in the formula.

Contrary to popular belief, high international prices negatively affect the performance of oil marketing companies mainly because of the resulting impact on working capital requirements. The outlook for international oil prices remains high and erratic, complicating projections of future supplies to the economy. Moreover, the rapid rise in both inflation and interest rates since the beginning of the year, compounded by a weakening shilling, will certainly affect business performance for the remainder of the year.

The management is confident that through continued active engagement with the authorities and other stakeholders, reasonable solutions will be implemented by the Government that will address not only the shortfalls in the pricing mechanism but also the supply chain constraints for stability in the industry necessary to sustain the economic growth of the country, and providing investors with a reasonable return on the capital employed, while at the same time addressing consumer interests.

Alexis VOVK
Managing Director



TOTAL